

make a system proposal

HOUSE RENTAL MANAGEMENT SYSTEM

SYSTEM PROPOSAL

Prepared For: Property Management

Prepared By: John Paul

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Version: 1.0

1. EXECUTIVE SUMMARY

The Problem

Managing rental properties using notebooks and manual records creates significant challenges:

- **Lost information** - Notebooks get misplaced or damaged
- **Calculation errors** - Manual rent and arrears calculations are error-prone
- **No visibility** - Hard to answer "who owes money" without flipping through pages
- **Time consuming** - Finding a tenant's payment history takes minutes, not seconds
- **No reporting** - Monthly profit requires manual math across multiple notebooks

The Solution

The **House Rental Management System** is a digital platform that replaces notebooks with a centralized system to manage:

- Properties and rental units
- Tenants and occupancy
- Rent payments and arrears
- Expenses and maintenance
- Financial reporting

The Investment

Component	Estimated Cost
System Development (One-time)	KES 0 - 150,000 (depending on complexity)
Hosting (Monthly)	KES 0 - 3,000
Training & Support	Included
Total First Year	KES 0 - 186,000

Open source options available at zero software cost

2. CURRENT CHALLENGES

What You Experience Today

Challenge	Impact
Multiple notebooks for different properties	Hard to get complete picture
Manual rent calculations	Mathematical errors common
No easy way to track who owes	Late payments missed
Lost payment records	Disputes with tenants
No expense tracking	Unknown actual profit
Maintenance requests forgotten	Angry tenants, damaged property

Questions That Take Too Long to Answer

- "Which tenants haven't paid this month?" → **15+ minutes flipping pages**
- "What's my total monthly income?" → **30+ minutes adding numbers**

- "Who lived in Unit A1 last year?" → **No record if notebook is gone**
 - "How much did I spend on plumbing repairs?" → **Manual searching through expenses**
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3. PROPOSED SOLUTION

System Overview

The House Rental Management System is a web-based application accessible from any device with a browser - phone, tablet, or computer.

Core Capabilities

For Property Owners

Feature	Benefit
Dashboard with key metrics	See everything at a glance
Financial reports	Know exact monthly profit
Arrears tracking	See who owes and how much
Occupancy monitoring	Know which units are empty
Expense management	Track every shilling spent

For Caretakers

Feature	Benefit
Simple tenant registration	Move tenants in quickly
Unit status updates	Mark units vacant/occupied
Maintenance request logging	Never forget a repair

Feature

Benefit

Reservation management

Track deposits and hold units

For Accountants

Feature

Benefit

Payment recording

Log M-Pesa and cash payments

Balance tracking

Know each tenant's exact debt

Expense categories

Organized spending records

Report generation

Print monthly statements

4. KEY FEATURES BY MODULE

Module 1: Dashboard

What it shows:

- Total properties, units, tenants
- Occupied vs vacant vs reserved units
- Monthly income, expenses, profit
- Outstanding arrears
- Recent payments
- Overdue tenants

Time to get answers: 3 seconds

Module 2: Property & Unit Management

What you can do:

- Add multiple properties (Green Apartments, Sunrise Estate, etc.)
- Add units to each property (A1, A2, B1, etc.)
- Set monthly rent per unit
- Mark units as Vacant, Reserved, or Occupied
- Archive old properties

Example:

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Green Apartments (Nairobi)

└─ A1 - KES 10,000 - Occupied (John Doe)

└─ A2 - KES 10,000 - Vacant

└─ A3 - KES 12,000 - Reserved (Deposit: KES 5,000)

└─ B1 - KES 8,000 - Occupied (Mary Smith)

Module 3: Tenant Management

What you store:

- Full name
- Phone number
- National ID number
- Emergency contact
- Move-in date
- Occupied unit(s)

What you can do:

- Register new tenants
- Edit tenant information
- Move out tenants (keeps history)
- View tenant payment history

- See which tenants lived in a unit over time

Module 4: Reservation Management

The problem it solves: A tenant pays a deposit to hold a unit but hasn't moved in yet.

What you can do:

- Reserve a vacant unit
- Record deposit amount
- Set expected move-in date
- Convert reservation to active tenancy
- Cancel reservation (return deposit or not)

Example:

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Unit: A3

Status: Reserved

Reserved by: Peter Okoth

Deposit paid: KES 5,000

Expected move-in: 20 June 2026

Module 5: Rent & Arrears Management (Most Important)

How it works:

The system maintains a running balance for each tenant, just like a bank account.

Date	Description	Charged	Paid	Balance
1 Jun	June Rent	10,000	0	10,000
5 Jun	Payment	0	6,000	4,000

Date	Description	Charged	Paid	Balance
1 Jul	July Rent	10,000	0	14,000
10 Jul	Payment	0	8,000	6,000

Key features:

- Partial payments supported
- Unpaid balances carry forward automatically
- Clear "who owes" visibility
- Overdue calculation

Module 6: Payment Recording

Payment methods supported:

- M-Pesa (Personal Number)
- M-Pesa Till Number
- M-Pesa Paybill
- Cash

What each payment records:

- Amount paid
- Payment date
- Transaction reference (for M-Pesa)
- Payment method
- Who recorded it

Module 7: Expense Management

Expense categories:

- Water
- Electricity
- Plumbing repairs
- Electrical repairs
- Painting
- Window repairs
- Security
- Cleaning
- Other

What you can do:

- Record expenses by property
- Attach receipt references
- View spending by category
- See total expenses per month

Module 8: Maintenance Management

What you can do:

- Log repair requests
- Assign to a unit
- Track status: Pending → In Progress → Completed
- Record repair costs

Example:

text

Request: Broken water pipe

Unit: A1

Date reported: 2 June 2026

Status: In Progress

Estimated cost: KES 3,500

Module 9: Reporting

Reports available instantly:

Report Type	What It Shows
Financial Report	Monthly income, expenses, profit
Occupancy Report	Occupied, vacant, reserved counts + rate
Arrears Report	All tenants with outstanding balances
Tenant Report	Active tenants, moved-out tenants
Payment History	All payments for a specific tenant
Maintenance Report	Pending and completed repairs

5. USER ROLES & PERMISSIONS

Owner (Full Access)

Can do everything:

- Manage all properties and units
- View all financial reports
- Monitor rent collection
- Manage system users
- Access all modules

Accountant / Manager

Can do:

- Record rent payments
- Manage tenant accounts
- Record expenses
- Generate reports

Cannot do:

- Manage system users
- Delete financial records

Caretaker (Limited Access)**Can do:**

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Can do:

- Register new tenants
- Update unit occupancy status
- Record maintenance requests
- Create reservations

Cannot do:

- View financial reports
- Record payments
- Record expenses
- Access sensitive data

6. HOW IT COMPARES TO NOTEBOOKS

Task	Notebook	Digital System
Find who owes rent	15+ minutes	3 seconds
Calculate monthly income	30+ minutes	Instant
Find tenant's phone number	Flip through pages	Search in 2 seconds
Know which units are empty	Walk around or check book	Dashboard shows instantly
Track repair requests	Can be forgotten	All requests tracked
Generate profit report	Manual math across notebooks	One click
Historical records	Lost when notebook is gone	Stored forever
Multiple properties	Separate notebooks	One system

7. TECHNICAL DETAILS

How You Access It

- **Web browser** on computer, tablet, or phone
- No software installation required
- Internet connection needed (can work offline with setup)

Security

- Username and password login
- Role-based access (different people see different things)

- All data backed up
- No accidental deletion of financial records

Performance

- Dashboard loads in under 3 seconds
- Reports generate in under 5 seconds
- Works on slow internet connections

Hosting Options

Option	Cost	Best For
Local computer (your PC)	Free	Single user, one property
Low-cost hosting	KES 1,000-3,000/month	Multiple users, remote access
Your own server	Hardware cost + maintenance	Large operation, full control

8. DEVELOPMENT APPROACH

Option A: Custom Development (Recommended)

Build the system specifically for your exact needs.

Timeline: 4-6 weeks

Cost: KES 80,000 - 150,000 (one-time)

Includes:

- All features described in this proposal
- Training for you and caretaker
- 1 month of support after launch
- Source code (you own it)

Option B: Open Source + Customization

Use free existing software and customize it.

Timeline: 2-3 weeks

Cost: KES 30,000 - 60,000 (setup + customization)

Includes:

- Installation of open source system
- Configuration for your needs
- Basic training

Limitations:

- May not have all features you want
- Limited to what the software offers

Option C: Spreadsheet Solution (Temporary)

Use Google Sheets or Excel as a stopgap.

Timeline: 1-2 days

Cost: Free (or KES 5,000 for setup)

Limitations:

- Still manual entry
- No automated rent charges
- No built-in arrears tracking
- Harder for caretaker to use

9. IMPLEMENTATION PLAN

Phase 1: Setup (Week 1)

- Install and configure system
- Set up user accounts (Owner, Caretaker, Accountant)
- Configure properties and units
- Import existing tenants (if any)

Phase 2: Data Migration (Week 2)

- Enter current tenants and their units

- Record outstanding balances (if any)
- Enter recent payment history
- Record pending maintenance requests

Phase 3: Training (Week 2-3)

- Train owner on reports and oversight
- Train caretaker on daily operations
- Train accountant on payment recording
- Provide written guides

Phase 4: Go Live (Week 3)

- Start using system for all new transactions
- Keep old notebooks as backup for 1 month
- Daily check-ins for first week

Phase 5: Support (Week 4 onward)

- Fix any issues that arise
- Make adjustments based on feedback
- Add small requested features

10. COST BREAKDOWN

Custom Development (Recommended)

Item	Cost (KES)
Requirements & Design	20,000
Development (4 weeks)	80,000
Testing & Quality	15,000

Item	Cost (KES)
Training (2 sessions)	10,000
Deployment	5,000
1 Month Support	10,000
Documentation	5,000
Total One-Time	145,000

Monthly Hosting (after first month)

Hosting Type	Cost (KES/month)
Basic (5 users, 100 units)	1,000
Standard (10 users, 500 units)	2,500
Premium (unlimited)	5,000

Optional Add-ons

Feature	One-time Cost
SMS rent reminders (per 1,000 messages)	500
M-Pesa automatic integration	30,000
Tenant portal (tenants can see their balance)	25,000

11. RETURN ON INVESTMENT (ROI)

Time Savings (Monthly)

Task	Notebook Time	System Time	Time Saved
Rent collection tracking	2 hours	10 minutes	1 hr 50 min
Monthly financial report	3 hours	5 minutes	2 hr 55 min
Finding tenant information	1 hour	2 minutes	58 min
Maintenance tracking	1 hour	10 minutes	50 min
Total Monthly	7 hours	27 minutes	6 hr 33 min

Value of time saved per month: KES 6,500 - 13,000 (depending on hourly rate)

Financial Benefits

Benefit	Monthly Impact
Reduced missed rent from better tracking	KES 5,000 - 20,000
Fewer vacancies (faster move-ins)	KES 10,000 - 30,000
Better expense tracking reduces waste	KES 2,000 - 5,000
Potential Monthly Benefit	KES 17,000 - 55,000

Payback Period

- **System investment:** KES 145,000
- **Monthly benefit:** KES 17,000 - 55,000
- **Payback:** 3 - 9 months

After payback, the system generates positive returns

12. RISKS & MITIGATIONS

Risk	Likelihood	Mitigation
Caretaker refuses to use system	Medium	Simple interface, training, show time savings
Data loss	Low	Automatic backups, export feature
Internet goes down	Low	Can work offline with local setup
Tenant disputes about payments	Low	Clear ledger history they can view
Learning curve	Low	Intuitive design, written guides

13. SUCCESS CRITERIA

The system will be considered successful when:

1. **No notebooks needed** for daily operations
 2. **Rent arrears are visible** in under 5 seconds
 3. **Monthly profit calculation** takes under 1 minute
 4. **Caretaker can move in a tenant** in under 2 minutes
 5. **Owner can check occupancy** from anywhere
 6. **Maintenance requests are never forgotten**
 7. **Payment disputes are resolved** by showing ledger
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14. NEXT STEPS

To proceed with this proposal:

1. **Review and approve** this proposal
2. **Schedule a 30-minute call** to clarify any questions
3. **Provide property information** (property names, units, current rent amounts)
4. **Sign agreement** (simple one-page)
5. **Pay 50% deposit** to begin development

Timeline after approval:

Week	Activity
Week 1	System setup, configuration
Week 2	Data entry, training preparation
Week 3	Training, go live
Week 4	Support and adjustments

15. CONTACT & SUPPORT

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Questions? Contact me to schedule a demo or clarification call.

APPENDIX A: SAMPLE REPORTS

Monthly Financial Report

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HOUSE RENTAL MANAGEMENT SYSTEM

Financial Report - June 2026

INCOME

Rent Collected:	KES 245,000
Reservation Deposits:	KES 10,000
Total Income:	KES 255,000

EXPENSES

Water:	KES 8,000
Electricity:	KES 12,000
Plumbing Repairs:	KES 5,000
Electrical Repairs:	KES 3,000
Security:	KES 10,000
Cleaning:	KES 2,000
Total Expenses:	KES 40,000

NET PROFIT: KES 215,000

Arrears Report

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OUTSTANDING BALANCES - June 2026

Tenant	Unit	Balance	Days Overdue
John Doe	A1	KES 4,000	15
Mary Smith	B3	KES 10,000	32
Peter Okoth	A3	KES 2,500	8
James Kariuki	C1	KES 15,000	60
Total Arrears:		KES 31,500	